

Business Requirements Document (BRD)

Project Name: E-Commerce customer churn analysis project

Version: 1.0

Prepared By: Aviral Goyal

Tools: MySQL, Power BI

1. Executive Summary

Customer retention is a key driver of sustainable business growth, as retaining existing customers is significantly more cost-effective than acquiring new ones. This project aims to develop an interactive Customer Churn Analysis Dashboard that enables business stakeholders to identify churn trends, understand customer behaviour, and support data-driven retention strategies, using SQL for data preparation and Power BI for visualization, the solution consolidates customer information into a centralized dashboard that provides actionable insights into customer engagement, spending behaviour, purchasing patterns, and churn risk.

2. Business Problem

The business lacks a centralized analytical solution to monitor customer churn and identify the factors contributing to customer attrition. Without meaningful insights into customer engagement, purchasing habits, and churn patterns, decision-makers face challenges in optimizing marketing efforts, improving customer satisfaction, and maximizing customer lifetime value.

3. Business Objectives

The project aims to achieve the following objectives:

- Develop an interactive dashboard to monitor customer churn and other key metrics.
- Identify customer segments with the highest likelihood of churn.
- Analyse customer behaviour using engagement, spending metrics.
- Measure key business performance indicators (KPIs) related to customer activity.
- Enable stakeholders to make informed, data-driven retention decisions.
- Provide actionable business recommendations to improve customer retention and revenue performance.

4. Stakeholders

Stakeholder	Business Need
Executive Management	Monitor overall customer retention performance and business health.
Marketing Team	Identify customer segments for targeted retention campaigns.
Customer Success Team	Detect high-risk customers and prioritize engagement efforts.
Sales Team	Understand customer value and purchasing behaviour.
Business Analysts	Analyse customer trends and support strategic decision-making.

5. Scope

The project includes:

- Customer churn analysis
- Customer segmentation
- Spending behaviour analysis
- Customer engagement analysis
- Customer risk assessment
- Interactive KPI reporting
- SQL-based data preparation
- Power BI dashboard development
- Business recommendations based on analytical findings.

Out of Scope

The following are outside the scope of this project:

- Predictive machine learning models
- Real-time data integration
- CRM or ERP system integration
- Automated customer communication
- Marketing campaign execution

6. Business Requirements

The solution should enable business users to:

- Monitor customer churn metrics through an interactive dashboard.
- Analyse customer demographics and behavioural characteristics.
- Identify customers with elevated churn risk.
- Compare customer performance across spending and engagement segments.
- Track business KPIs related to customer activity and revenue.
- Filter and explore customer data across multiple business dimensions.
- Generate insights to support customer retention initiatives.

7. Key Business KPIs

KPI	Business Purpose
Total Customers	Measure customer base size
Active Customers	Track currently engaged customers
Churned Customers	Monitor customer attrition
Churn Rate	Measure percentage of customer attrition
Monthly Spend	Evaluate customer purchasing value
Revenue per Order	Revenue generated per transaction
Total Orders	Measure purchasing activity
Customer Risk level	Identify customers requiring intervention
Order Frequency	Analyse purchasing behaviour
App Usage Time	Measure customer engagement
Cart Abandon Rate	Identify purchasing friction
Support Tickets	Monitor customer support demand

8. Assumptions

The project assumes that:

- Customer data is complete and accurately represents customer activity.
- Customer identifiers are unique.
- Churn status has been correctly classified.
- Historical customer behaviour is sufficient for business analysis.

9. Constraints

The project is subject to the following constraints:

- Analysis is based on a static historical dataset.
- No real-time customer data is available.
- Customer behaviour is evaluated using the available dataset only.
- External business factors influencing churn are not included.

10. Expected Business Benefits

The proposed solution is expected to deliver the following benefits:

- Improved visibility into customer churn trends.
- Faster identification of customers requiring retention efforts.
- Better understanding of customer engagement and purchasing behaviour.
- Enhanced support for strategic business decision-making.
- More effective allocation of marketing and customer success resources.
- Increased focus on improving customer lifetime value through data-driven actions.

11. Success Criteria

The project will be considered successful if stakeholders are able to:

- Monitor customer churn through a centralized dashboard.
- Identify high-risk customer segments efficiently.
- Analyse customer behaviour using interactive visualizations.
- Track business KPIs with accuracy and consistency.
- Derive actionable insights that support customer retention strategies and business decision-making.